Tax News & Insights

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Legislation Introduced - Bills on 30% minimum tax on discretionary trusts and tranche 2 changes for CGT and negative gearing

On 14 October 2026, legislation to enact the 2026–27 Federal Budget measures to impose a 30% minimum tax on net income of certain discretionary trusts, including tranche 2 changes for CGT and negative gearing, was introduced into Parliament. This legislation has not yet been passed by Parliament.

The Treasury Laws Amendment (Tax Reform No. 3) Bill 2026 ("the **Bill**") and the *Income Tax Rates Amendment (Minimum Tax on Discretionary Trusts) Bill 2026* include the following measures:

- Implementing the components of the minimum tax on discretionary trusts, including an amended definition of "fixed trust" and introducing the 30% minimum rate of tax.
- Expanded options to limit or eliminate restructuring costs for small businesses and others using discretionary trusts.
- Implementing the tranche 2 legislation for the Government's reforms to negative gearing and capital gains tax ("**CGT**").
- Providing transitional relief for excess contributions in the first year of Payday Super.

Minimum tax on discretionary trusts

Schedules 1–3 of the Bill address the minimum tax on discretionary trusts, roll-over relief and the electable regime. The Bill is largely consistent with the Exposure Draft legislation released in September 2026 and it appears that almost all key recommendations advanced by stakeholders in the consultation and submission process have *not* been adopted.

The key measures in Schedules 1-3 of the Bill include:

- A minimum tax of 30% payable by the trustee of the trust. The minimum tax will apply to discretionary trusts but not to fixed trusts (including most widely held trusts, deceased estates, managed investment trusts ("**MITs**"), attribution managed investment trusts ("**AMITs**"), complying superannuation funds, employee share trusts and charitable trusts).
- Expanding the definition of a "fixed trust".
- The minimum tax will not apply to certain types of income (including primary production income, certain income of vulnerable minors, income from testamentary trusts established for genuine testamentary purposes and certain income for charitable or not-for-profit beneficiaries).
- The introduction of three-year roll-over relief from 1 July 2027 for direct income tax consequences that would otherwise arise from transferring assets as a result of a restructure, where the conditions are satisfied.
- The introduction of an electable regime for an excluded election trust ("**EET**"). The EET regime allows trustees to fix beneficiaries for income tax purposes, with the same percentages for income and capital entitlements, thereby removing the minimum 30% tax.

Capital Gains Tax (CGT) and Negative Gearing (Tranche 2)

Schedules 4 and 5 of the Bill are largely consistent with the Exposure Draft legislation released in August 2026. As a recap, key measures in the Bill include:

- Extending the application of the new CGT rules to apply to AMITs. This includes clarifying the broader operation of the CGT reforms for trusts, including:
    - Removing the need to apply indexation to the cost base of CGT assets if no beneficiaries are entitled to apply indexation
    - Allowing revenue treatment for assets in a MIT that are acquired on or after 1 July 2027.
- Ensuring the loss-ordering rules do not impact complying superannuation funds investing through trusts.
- Exempting the 30% minimum tax on capital gains for genuine testamentary trusts, deceased estates, special disability trusts and income of minor beneficiaries.
- Clarifying the definition of "residential dwelling" and "new residential dwelling". A new residential dwelling will be exempt from the new negative gearing changes which require losses from investments in residential dwellings to be quarantined.
- Providing an available 50% CGT discount for investments in new residential dwellings.

Tranche 1 of the reforms to negative gearing and CGT were enacted through the *Treasury Laws Amendment (Tax Reform No. 1) Act 2026* and the *Income Tax Rates Amendment (Tax Reform No. 1) Act 2026* on 26 June 2026.

If enacted, the discretionary trust changes in particular will necessitate careful consideration of all potentially affected trusts and surrounding arrangements. This will include assessment of the available options to (a) restructure using the rollover, (b) elect out, or (c) apply the minimum tax as discussed in our 16 September 2025 Tax News & Insights.

Commissioner's power to amend past assessments - *Sunna v FCT*

In *Sunna v Commissioner of Taxation* [2026] FCAFC 133 the Full Federal Court dismissed both the taxpayer's appeal and the Commissioner's cross-appeal from *Sunna v Commissioner of Taxation* [2025] FCA 1499, finding that the Commissioner's ability to amend the relevant assessments under s 170(10AA) of the *Income Tax Assessment Act 1936* was narrow and did not permit an amendment merely to correct a taxpayer's mistake.

The case concerned a capital gain being incorrectly reported in the taxpayer's 2020 income tax return, when the gain should have arisen in the 2019 income year, when the contract of sale was entered into. The Commissioner amended the 2019 assessment to include the full gain and amended the 2020 assessment to remove the gain initially reported. The taxpayer objected to the amended assessments and, on disallowance of his objection, appealed to the Federal Court arguing that the Commissioner was out of time to amend the 2020 assessment and consequently, could not amend the 2019 assessment for the same underlying CGT event.

At first instance, the Federal Court found that the Commissioner was empowered to amend the 2019 assessment on the basis that the CGT event arose in the 2019 income year, when the contract was entered into, rather than on settlement. However, the Commissioner was not empowered to amend the 2020 assessment to remove the gain that was incorrectly reported. The taxpayer appealed to the Full Federal Court against the primary judge's reasoning in relation to the 2019 assessment, and the Commissioner cross-appealed, challenging the findings in relation to the 2020 assessment.

The Full Federal Court dismissed both the taxpayer's appeal and the Commissioner's cross-appeal. The Full Federal Court held that the gain was correctly assessable in 2019 and that an incorrect assessment in the 2020 income year did not prevent the Commissioner from issuing a correct assessment. The Full Federal Court also found that the Commissioner's amendment power was limited to giving effect to the CGT timing rule and did not permit an amendment of the 2020 assessment merely to correct the taxpayer's mistake. The court noted that the taxpayer's avenue to fix the erroneous 2020 assessment was to lodge a late objection and request an extension of time. The Commissioner conceded that it would not be "legally reasonable" to refuse an extension of time to correct the 2020 return once the 2019 return had been corrected.

The case confirms that the contract date is the relevant date for a CGT asset sale. Declaring a gain in the wrong financial year, even in good faith, can create issues and the taxpayer can be legally required to pay the tax in the correct year before the taxpayer has any statutory right to have a refund issued for tax incorrectly paid in respect of a different year.

Shopping centre car park is a "commercial car parking station" – High Court refuses special leave

The High Court has refused the taxpayer special leave to appeal against the decision in *FC of T v Toowoomba Regional Council* [2026] FCAFC 50. The case primarily centred on whether the Toowoomba Grand Central Shopping Centre parking facility was a "commercial parking station" under the *Fringe Benefits Tax Assessment Act 1986* (FBTAA). The Full Federal Court overturned the decision of the primary judge, finding in favour of the Commissioner. The Court found that 'commercial' means "being engaged in commerce", and that the phrase 'permanent commercial car parking facility' means "a permanent car parking facility at which fees are paid in exchange for licences to use car parking spaces". This case affirms the need for employer entities to treat shopping centre car parks with paid parking as commercial parking stations for quantifying car parking fringe benefits.

ATO publishes foreign vendor notification form

From 1 October 2026, a foreign vendor must notify the ATO of transactions involving membership interests with a market value of A$50 million or more. The notification must be completed and lodged by the vendor if they have provided, or intend to provide, the purchaser with a non-IARPI declaration and the value of the transaction is A$50 million or more. The form must be lodged at least 28 days before settlement where settlement occurs 31 days or more after the contract date, or as soon as reasonably practicable and before settlement. Further guidance and instructions are available on the ATO website.

FBT changes to salary sacrificed work-related benefits

The ATO has published guidance on upcoming changes to FBT and salary sacrificed work-related benefits. From 1 April 2027, employers will no longer be able to apply the otherwise deductible rule to reduce an FBT liability for salary sacrificed work-related expense payment benefits covered by the newly introduced standard deduction. Other changes include removing FBT exemptions for certain work-related items, when provided through a salary sacrifice arrangement. Further guidance is available on the ATO website.

Contact

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